

The Culture of Business, Finance and the Economy

Class 20 – 28 may

Dr. Juan M. del Nido
First semester 2026

Recap

From makerspaces to venture capitalism II: hype, pitching, leveraging

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Today

From makerspaces to venture capitalism III: venture capitalists

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Business

The Fuzzy, Insane Math That's Creating So Many Billion-Dollar Tech Companies

Startups achieve astronomical valuations in exchange for protecting new investors

By [Sarah Frier](#) and [Eric Newcomer](#)
March 17, 2015 at 10:00 AM GMT-3

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Patience and technicalities

Venture Capital

high-risk ventures (capitales **de riesgo**)

a management company, a fund, limited partners,
general partners, and their portfolio of startups

The fund is a pool of capital. This fund is structured as a limited partnership with the limited partners providing the fund and the general partners taking responsibility for the management company.

VC Elizabeth Yin, thread [here](#)

1) First off - what is an LP? A limited partner is an investor in a fund.

[@HustleFundVC](#) for example, we have raised money from individuals, families, companies, and fund-of-funds. This is the money we use to invest in startups.

They are our LPs.

3) If you sign the docs to become an LP, unlike invested directly into startups, you usually don't send your full commitment right away.

In most cases, a fund will do capital calls across a few yrs asking you for portions of your commit.

4) For example, [@HustleFundVC](#) we do a 3 year capital call period twice a year. So we will ask you for a portion of your investment 6 times.

So if you invest \$100, on average, we would ask for \$16-17 each time.

5) This is because often most LPs - esp larger ones - don't actually have all the money sitting around in their bank acct right now. Their money is in other assets and over the course of the 3 years they will move their money around to fund their commits.

The management company oversees the investment decisions and ensures that investments make returns.

risky, but potentially high yield, ventures such as startup companies. This investment is usually shares where the VC purchases preferred stock in the company, usually with liquidation rights to ensure a higher priority payout if the company fails.

Common stock

If you own common shares – or just “shares” – you own part of the company and can vote on big decisions (like electing the board of directors). You might also get dividends (a share of profits), but these aren’t guaranteed. If the company fails, you’re last in line to get any money back.

Preferred stock

You don't get voting rights, but you get priority when it comes to dividends (you're paid before common shareholders). If the company fails, preferred shareholders also get their money back before common shareholders.

A large portion of these investments (between 70-75 percent) will never “exit” (see further on), usually because the company goes bust.

This means that the fund is largely grown by a fraction of investments that have a near-exponential growth pattern and are able to exit between \$100 million and \$2 billion, thus making the large failure rate viable in the long term.

Hence scale, speed, magnitude, leverage...

General Partners charge annual management fees – usually 2 percent/year of each fund committed – and expect the fund to last 10 years, which necessarily reduces the funds available to *even* make venture investments to 80 percent of the committed capital – the other 20 percent is management fees.

There are other costs too, which means the actual amount that a venture fund has available often comes to about 75 percent of the LPs' original commitment. This means that any VC fund has to do **very well just to break even.**

The kinds of startups they fund

startups expected to generate high and fast revenue growth. They are usually short- to medium-term in outlook, increasing cash flow at the expense of things like R&D and innovation

No funding does not mean “bad business”: pharma, some real estate, space technologies, perfectly lucrative investments that need more time to come to fruition and thus do not work here.

How does the fund make money?

The fund makes money by making an “exit”

Exit

through an initial public offering (IPO) on the stock exchange, an acquisition by another company, or if the shares are purchased by another party.

While you're private

Stock Trading: Shares are not offered to the general public and are not traded on public stock exchanges.

Ownership: Closely held by a small number of individuals, often founders, management, or private investors.

Regulation & Reporting: Less regulatory burden, no obligation to disclose financial information publicly.

Liquidity: Shares are not easily traded, limiting liquidity for owners.

Confidentiality: Far greater privacy, no public input.

Valuation: unclear, subjective, based on promises – our past classes.

Initial Public Offering (IPO), or “going public”

When a company wants to raise a lot of money to grow (expand, hire more people, develop new products), it can sell part of itself (“shares”) to the public through an IPO. Anyone can buy shares of the company on the stock market once it’s “gone public”. The company gets cash from those sales, that can now be traded freely.

Once you're public

Stock Trading: Shares are sold to the general public and traded on stock exchanges

Ownership: Distributed among many shareholders, including the public.

Regulation: Subject to harsher regulations and must regularly disclose financial and business information to the public.

Liquidity: Investors can easily buy and sell shares.

Transparency: Greater public scrutiny of operations and finances.

Valuation: visible and open in the market and subject to publicly known pushes and pulls

KEY

Unlike publicly traded companies, privately held startup companies have no **external economic valuation measure** and many lack revenue. Startup valuations are only ever discussed when specific transactions occur, such as new investments. As privately held companies, they do not have the same obligations for reporting that publicly held companies have, making these valuations hidden from public view and determined on a hugely subjective basis – putting numbers on things that don't organically have them, like promises, fabricated truths, things that don't exist, etc.

“made up valuations” and FOMO

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**This is why hype, pitching, leveraging,
growth hacking and storytelling matter,
as well as incubators, accelerators,
motivational speeches, public pitching
events, personal mentorship, interviews
with journalists and so on.**

Angel investors (broad term)



The deal: The term sheet

Memorandum de entendimiento
Acuerdo de inversion preliminar
Hoja de términos

**NON-Binding but may demand confidentiality and
refrain from further soliciting for a while**

Sets out a plan

Alongside a raft of other documents

TERM SHEET



Company:	[_____], a Delaware corporation.
Securities:	Series A Preferred Stock of the Company (" Series A ").
Investment Amounts:	\$[] million from [_____] ("Lead Investor") \$[] million from other investors Convertible notes and safes ("Convertibles") convert on their terms into shadow series of preferred stock (together with the Series A, the "Preferred Stock").
Valuation:	\$[] million post-money valuation, including an available option pool equal to []% of the post-Closing fully-diluted capitalization.
Liquidation Preference:	1x non-participating preference. A sale of all or substantially all of the Company's assets, or a merger (collectively, a " Company Sale "), will be treated as a liquidation.
Dividends:	6% noncumulative, payable if and when declared by the Board of Directors.
Conversion to Common Stock:	At holder's option and automatically on (i) IPO or (ii) approval of a majority of Preferred Stock (on an as-converted basis) (the " Preferred Majority "). Conversion ratio initially 1-to-1, subject to standard adjustments.

Voting Rights:	Approval of the Preferred Majority required to (i) change rights, preferences or privileges of the Preferred Stock; (ii) change the authorized number of shares; (iii) create securities senior or <u>pari passu</u> to the existing Preferred Stock; (iv) redeem or repurchase any shares (except for purchases at cost upon termination of services or exercises of contractual rights of first refusal); (v) declare or pay any dividend; (vi) change the authorized number of directors; or (vii) liquidate or dissolve, including a Company Sale. Otherwise votes with Common Stock on an as-converted basis.
Drag-Along:	Founders, investors and 1% stockholders required to vote for a Company Sale approved by (i) the Board, (ii) the Preferred Majority and (iii) a majority of Common Stock [(excluding shares of Common Stock issuable or issued upon conversion of the Preferred Stock)] (the “ Common Majority ”), subject to standard exceptions.
Other Rights & Matters:	The Preferred Stock will have standard broad-based weighted average anti-dilution rights, first refusal and co-sale rights over founder stock transfers, registration rights, pro rata rights and information rights. Company counsel drafts documents. Company pays Lead Investor’s legal fees, capped at \$30,000.
Board:	[Lead Investor designates 1 director. Common Majority designates 2 directors.]
Founder and Employee Vesting:	Founders: [_____]. Employees: 4-year monthly vesting with 1-year cliff.
No Shop:	For 30 days, the Company will not solicit, encourage or accept any offers for the acquisition of Company capital stock (other than equity compensation for service providers), or of all or any substantial portion of Company assets.

The “No Shop” is legally binding between the parties. Everything else in this term sheet is non-binding and only intended to be a summary of the proposed terms of this financing.

[COMPANY]

By: _____

Name: _____

Title: _____

Date: _____

[LEAD INVESTOR]

By: _____

Name: _____

Title: _____

Date: _____

Conclusion